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Customer Health Scorecard

A Five-Pillar Model for Seeing Risk Before It Becomes Churn

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Customer Health Scorecard

Measuring Customer Health Before Risk Becomes Reality

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Introduction

> ***\"Customers rarely churn because of one bad meeting. They churn because small warning signs go unnoticed for months.\"***

One of the greatest challenges in Customer Success is recognizing risk before it becomes visible.

By the time a customer openly expresses dissatisfaction or declines a renewal, the warning signs have usually existed for weeks---or even months. Product adoption may have declined. Executive engagement may have disappeared. Support tickets may have increased. Business goals may no longer be progressing.

The problem isn\'t that the warning signs were absent.

The problem is that no one connected them.

This is where a Customer Health Scorecard becomes one of the most valuable tools in Customer Success.

A Health Scorecard combines multiple indicators into one structured view of an account\'s overall health. Rather than relying on intuition or isolated metrics, it provides an objective way to monitor customer progress, identify emerging risks, prioritize engagement, and trigger proactive interventions before issues escalate.

Healthy customers are not simply customers who log into the platform regularly.

Healthy customers consistently achieve business outcomes, maintain strong stakeholder relationships, demonstrate positive sentiment, and continue investing in the partnership.

An effective Health Scorecard measures these dimensions together rather than independently.

More importantly, it enables consistency.

Every Customer Success Manager evaluates accounts using the same framework.

Every leader interprets customer health using the same language.

Every escalation follows predefined playbooks.

When health scoring is implemented effectively, Customer Success shifts from reacting to customer problems toward preventing them altogether.

The goal of Customer Health Scoring is not to predict churn.

It is to create the visibility required to prevent it.

Chapter 1

Why Customer Health Scoring Matters

Customer Success is fundamentally about helping customers achieve measurable business outcomes over time.

To accomplish this consistently, Customer Success Managers need more than intuition---they need a structured way to assess whether customers are progressing toward success or drifting toward risk.

Customer Health Scoring provides that structure.

A well-designed Health Score allows Customer Success teams to answer important questions quickly.

Is this customer achieving value?

Is adoption increasing or declining?

Are executive stakeholders still engaged?

Is customer sentiment improving?

Should this account receive proactive attention before renewal?

Without Health Scoring, these questions often rely on individual judgment, making account management inconsistent across teams.

Health Scores create a common language for evaluating customer success.

Leaders gain visibility into portfolio health.

Customer Success Managers prioritize accounts more effectively.

Sales teams identify expansion opportunities earlier.

Executive leadership gains confidence in customer forecasting.

Health Scores also improve operational efficiency.

Instead of giving every account the same level of attention, Customer Success teams can focus resources where they create the greatest impact.

Healthy accounts receive strategic guidance.

At-risk accounts receive proactive intervention.

Critical accounts receive executive support.

Most importantly, Health Scoring encourages proactive Customer Success.

Rather than waiting for customers to report problems, Customer Success Managers identify subtle changes in behavior, engagement, and business outcomes long before those issues threaten renewal.

The healthiest customer relationships are rarely maintained by chance.

They are monitored intentionally, reviewed consistently, and strengthened proactively.

Chapter 2

Understanding Customer Health

Customer Health is the overall condition of a customer\'s relationship with your organization at a specific point in time.

It is not determined by one metric, one meeting, or one person\'s opinion.

Instead, customer health is the combined result of several measurable factors working together.

A customer may log into the platform every day but still be unhealthy if they are not achieving business outcomes.

Likewise, a customer with limited product usage may still be healthy if they have successfully achieved the objectives they purchased the solution to accomplish.

For this reason, Customer Health should never be measured using product adoption alone.

An accurate Health Score evaluates multiple dimensions simultaneously.

The five core pillars of Customer Health are:

Adoption

How actively customers use the solution.

Business Outcomes

Whether customers are achieving measurable business value.

Relationship

The strength of relationships across stakeholders.

Customer Sentiment

How customers feel about the partnership.

Growth Potential

The opportunity for future expansion.

These pillars provide a balanced view of customer success.

When monitored together, they allow Customer Success Managers to understand not only what customers are doing but also why they are behaving that way.

Customer Health should always answer one important question:

\"If renewal happened today, how confident are we that this customer would continue the partnership?\"

A strong Health Score provides that answer with evidence rather than assumptions.

Chapter 3

When Customer Health Should Be Measured

Customer Health is dynamic.

It changes continuously as customer behavior, business priorities, stakeholder engagement, and product usage evolve.

Measuring health once every quarter is rarely sufficient.

Instead, Customer Success teams should establish a consistent review cadence.

Weekly

Review critical accounts.

Monitor major implementation projects.

Identify urgent adoption issues.

Review customer escalations.

Monthly

Calculate Health Scores for every managed account.

Review changes across all five health pillars.

Identify customers requiring proactive engagement.

Quarterly

Present Health Score trends during Executive Business Reviews.

Compare customer progress against business objectives.

Evaluate long-term partnership health.

Before Renewal

Conduct a detailed Health Assessment.

Validate business outcomes.

Confirm executive engagement.

Review commercial readiness.

After Major Events

Health Scores should also be reviewed after:

Executive leadership changes.

Large product releases.

Major support escalations.

Expansion projects.

Organizational restructuring.

Significant declines in product usage.

The value of Health Scoring comes from identifying trends over time rather than reacting to isolated events.

A single month\'s decline may not indicate risk.

Three consecutive months often do.

Chapter 4

The Customer Health Score Framework

This framework evaluates customer health across five core dimensions.

Together, they provide a comprehensive picture of the customer relationship.

Pillar One

Adoption

Measures how effectively customers are using the product.

Typical indicators include:

Weekly Active Users.

Monthly Active Users.

Feature adoption.

Workflow completion.

License utilization.

Training completion.

Pillar Two

Business Outcomes

Measures whether customers are achieving their original business objectives.

Examples include:

Reduced operational costs.

Improved productivity.

Revenue growth.

Improved customer satisfaction.

Reduced processing time.

Achievement of agreed KPIs.

Pillar Three

Relationship

Measures the strength and resilience of customer relationships.

Indicators include:

Executive engagement.

Champion strength.

Stakeholder coverage.

Meeting participation.

Responsiveness.

Executive sponsorship.

Pillar Four

Customer Sentiment

Measures how customers feel about the partnership.

Indicators include:

NPS.

CSAT.

Survey feedback.

Support experience.

Meeting sentiment.

Customer confidence.

Pillar Five

Growth Potential

Measures opportunities for expansion.

Indicators include:

Unused licenses.

Additional departments.

Product adoption maturity.

Executive interest.

Strategic initiatives.

Budget availability.

Together, these five pillars create a balanced view of customer health that extends far beyond simple usage metrics.

Chapter 5

Building a Health Score Step-by-Step

An effective Health Score should be objective, repeatable, and easy for every Customer Success Manager to apply consistently.

The following process provides a practical framework.

Step One

Define the five health pillars.

Ensure every account is evaluated using the same categories.

Consistency creates reliable comparisons.

Step Two

Select measurable indicators.

Avoid subjective measurements whenever possible.

Use observable behaviors and business outcomes.

Step Three

Assign weighting.

Not every pillar contributes equally.

For example:

Adoption --- 30%

Business Outcomes --- 25%

Relationship --- 20%

Customer Sentiment --- 15%

Growth Potential --- 10%

Weightings should reflect your organization\'s priorities.

Step Four

Define scoring criteria.

For every metric, determine what represents:

Healthy.

Warning.

Critical.

Clear thresholds improve consistency.

Step Five

Calculate the Health Score.

Combine all pillar scores into one overall percentage or numerical score.

This creates a simple view of account health while preserving detailed insight into individual dimensions.

Step Six

Trigger playbooks.

A Health Score is only useful when it leads to action.

Healthy accounts receive strategic guidance.

Warning accounts receive proactive coaching.

Critical accounts receive immediate intervention.

Health Scores should drive decisions---not simply populate dashboards.

Chapter 6

Adoption Health

Adoption is often the first indicator Customer Success teams monitor, but it should never be interpreted in isolation.

High adoption does not automatically indicate customer success.

Low adoption does not automatically indicate customer risk.

The context behind adoption matters.

Adoption Health measures how consistently customers integrate the product into their everyday business processes.

Key metrics include:

Weekly Active Users.

Monthly Active Users.

Daily login frequency.

Feature adoption.

Workflow completion.

License utilization.

Training participation.

Time to First Value.

Customer Success Managers should also evaluate adoption quality rather than quantity.

For example, a customer logging into the platform every day but using only one basic feature may have lower adoption maturity than another customer who uses fewer sessions but fully integrates advanced workflows into daily operations.

Questions to consider include:

Are users completing critical workflows?

Are administrators actively managing the platform?

Are advanced capabilities being adopted?

Are users returning consistently?

Are key business processes dependent on the solution?

Practical Scenario

A manufacturing company purchased workflow automation software for 500 employees.

After three months, analytics showed that 95% of users logged in regularly.

At first glance, adoption appeared excellent.

However, deeper analysis revealed that only 18% of users were completing automated workflows.

Most employees continued relying on manual processes.

Although login activity was high, true adoption remained low because customers had not changed their behavior.

This illustrates why meaningful adoption measures customer behavior---not simply product access.

Adoption Health should always be interpreted alongside business outcomes to determine whether product usage is translating into measurable customer success.

Chapter 7

Business Outcomes Health

If Adoption Health answers the question, **\"Are customers using the product?\"**, then Business Outcomes Health answers the more important question:

\"Is the product improving the customer\'s business?\"

This is the foundation of Customer Success.

Customers do not purchase software because they want another application to manage. They invest in solutions because they expect measurable improvements in their business.

A Customer Health Score should therefore place significant emphasis on outcomes rather than activity.

Business Outcomes Health measures whether the customer is progressing toward the objectives documented during Discovery and captured in the Customer Success Plan.

Examples of measurable business outcomes include:

• Reduced operational costs.

• Increased employee productivity.

• Faster customer response times.

• Improved customer satisfaction.

• Increased revenue.

• Reduced churn.

• Higher compliance rates.

• Improved process efficiency.

Every customer defines success differently.

For one organization, success may be reducing onboarding time from fifteen days to seven.

For another, success may be increasing sales productivity by twenty percent.

Customer Success Managers should continuously compare current performance against the customer\'s original goals rather than generic industry benchmarks.

Questions to Consider

Have the agreed business objectives been achieved?

Can leadership clearly identify measurable improvements?

Has the customer communicated positive business impact?

Are executives recognizing return on investment?

Are success metrics improving consistently?

Practical Scenario

A healthcare organization implemented a patient scheduling platform with the goal of reducing appointment wait times.

Three months after implementation, product usage remained relatively stable.

However, the real success became visible through business outcomes.

Average patient wait times decreased by 28%.

Missed appointments dropped by 17%.

Administrative staff processed appointments 35% faster.

Patient satisfaction scores increased significantly.

Although login activity changed only slightly, the business achieved exactly what it had hoped for.

This account demonstrates excellent Business Outcomes Health because measurable customer value was delivered.

Customer Success should always measure outcomes before activity.

Activity creates opportunity.

Outcomes create customer loyalty.

Chapter 8

Relationship Health

Strong customer relationships are often the deciding factor between successful renewals and unexpected churn.

Products solve business problems.

Relationships sustain long-term partnerships.

Relationship Health measures the strength, depth, and resilience of the connections between your organization and the customer\'s organization.

Healthy relationships extend beyond a single champion.

They include executive sponsors, operational leaders, technical teams, procurement, finance, and key end users.

A diversified relationship network reduces account risk and improves long-term stability.

Indicators of Relationship Health include:

• Executive engagement.

• Champion strength.

• Stakeholder coverage.

• Meeting participation.

• Response times.

• Executive Business Review attendance.

• Cross-functional relationships.

• Relationship consistency.

Customer Success Managers should regularly ask:

If our primary champion left tomorrow, would the partnership remain strong?

If the answer is no, Relationship Health requires immediate attention.

Practical Scenario

A software company enjoyed an excellent relationship with its Operations Director, who strongly supported the platform.

However, no relationships existed with Finance, Procurement, or Executive Leadership.

When the Operations Director accepted a role elsewhere, communication stopped almost immediately.

The renewal became uncertain because no other stakeholder fully understood the value the platform had delivered.

This account had strong product adoption but poor Relationship Health.

Healthy relationships should never depend on one individual.

Chapter 9

Customer Sentiment Health

Customer Sentiment reflects how customers feel about your organization.

Unlike Adoption or Business Outcomes, sentiment measures perception rather than operational performance.

Perception often influences renewal decisions as much as measurable outcomes.

Customers who consistently feel heard, supported, and respected are more likely to remain loyal---even when occasional challenges arise.

Customer Sentiment can be measured using several sources.

Formal metrics include:

Net Promoter Score (NPS).

Customer Satisfaction (CSAT).

Customer Effort Score (CES).

Survey responses.

Informal indicators include:

Tone during meetings.

Email communication.

Support interactions.

Executive feedback.

Social media mentions.

Community engagement.

Customer Success Managers should avoid relying solely on surveys.

Many customers never complete formal feedback forms.

Instead, sentiment should be evaluated using every interaction throughout the customer lifecycle.

Warning Signs

Delayed responses.

Declining meeting participation.

Negative executive feedback.

Repeated complaints.

Reduced enthusiasm.

Increasing support escalations.

These signals often appear long before customers openly discuss renewal concerns.

Practical Scenario

A customer consistently reported strong NPS scores during annual surveys.

However, monthly Executive Business Reviews revealed increasing frustration regarding delayed feature requests and slower support responses.

Although survey results appeared healthy, meeting sentiment suggested growing dissatisfaction.

By recognizing these subtle signals early, the Customer Success team collaborated with Product and Support to improve communication, ultimately restoring customer confidence before renewal.

Customer Sentiment should never be viewed as a single survey score.

It is an ongoing reflection of customer confidence.

Chapter 10

Growth Potential Health

Customer Success is not only responsible for protecting revenue.

It also plays an important role in identifying opportunities for customer growth.

Growth Potential Health measures whether an account is positioned for future expansion based on customer maturity, business success, organizational priorities, and product adoption.

Growth opportunities should emerge naturally from customer outcomes rather than aggressive selling.

Indicators include:

• Consistently healthy adoption.

• Positive business outcomes.

• Executive engagement.

• Additional departments requesting access.

• Unused licenses.

• New strategic initiatives.

• Product maturity.

• Customer innovation goals.

Growth Potential also depends on timing.

A customer experiencing implementation challenges is unlikely to prioritize expansion.

Conversely, customers consistently achieving value often become receptive to discussions about additional capabilities.

Practical Scenario

A retail organization initially deployed customer service software within its support department.

After six months, measurable improvements included faster response times, improved customer satisfaction, and reduced operating costs.

Leadership began asking whether similar workflows could improve operations in the sales and marketing departments.

The Customer Success Manager collaborated with Sales to prepare an expansion business case based on documented business outcomes.

The conversation focused on solving the customer\'s next challenge rather than selling additional licenses.

Expansion became a logical business decision rather than a commercial proposal.

Healthy customers naturally create healthy expansion opportunities.

Growth should always follow customer success---not precede it.

Chapter 11

Health Score Thresholds & Playbooks

A Customer Health Score becomes valuable only when it drives action.

Many organizations invest time building sophisticated scoring models but fail to define what should happen when an account\'s health changes. As a result, Health Scores become numbers displayed on dashboards rather than decision-making tools.

Every Health Score should have predefined thresholds that trigger specific Customer Success playbooks.

A simple and effective approach is to classify accounts into three categories:

Green (Healthy)

Health Score: 80--100

These customers are consistently achieving business outcomes, maintaining strong stakeholder engagement, and demonstrating positive product adoption.

Characteristics

• High product adoption.

• Business objectives being achieved.

• Strong executive relationships.

• Positive customer sentiment.

• Expansion opportunities emerging.

Customer Success Playbook

Conduct regular Health Reviews.

Continue Executive Business Reviews.

Share product roadmap updates.

Celebrate customer wins.

Identify advocacy opportunities.

Assess expansion readiness.

The objective for Green accounts is not simply to maintain health but to deepen the partnership.

Amber (Warning)

Health Score: 60--79

Amber accounts are beginning to show early warning signs that require proactive attention.

The customer may still be satisfied overall, but certain indicators suggest increasing risk.

Common Warning Signs

Declining adoption.

Reduced executive engagement.

Delayed milestone completion.

Negative support experiences.

Lower meeting participation.

Changing business priorities.

Customer Success Playbook

Schedule a Customer Health Review.

Investigate declining metrics.

Meet with the primary champion.

Update the Success Plan.

Deliver additional enablement.

Increase communication cadence.

Document new risks.

Amber accounts represent the greatest opportunity for proactive Customer Success because most issues remain manageable if addressed early.

Red (Critical)

Health Score: Below 60

Red accounts require immediate intervention.

Waiting for the next Quarterly Business Review or renewal conversation is no longer appropriate.

Immediate action is necessary to restore customer confidence.

Common Indicators

Significant adoption decline.

Executive sponsor disengaged.

Repeated support escalations.

Business outcomes not achieved.

Champion has left the organization.

Negative customer sentiment.

Commercial concerns.

Customer Success Playbook

Conduct an executive escalation meeting.

Develop a Recovery Success Plan.

Perform a complete Health Assessment.

Engage Product and Support leadership.

Review stakeholder relationships.

Increase meeting frequency.

Track progress weekly.

Document every action.

The objective is not simply to improve the Health Score.

The objective is to restore measurable customer success.

Escalation Matrix

Health Score	Risk **Level**	**Recommended Action**
80--100	Green	Strategic account management and growth planning
60--79	Amber	Proactive intervention and closer monitoring
Below 60	Red	Executive recovery plan and immediate engagement

Health Scores should never exist without corresponding action plans.

The score identifies the problem.

The playbook solves it.

Chapter 12

Maintaining an Accurate Health Score

Customer Health is constantly evolving.

A Health Score calculated last month may no longer represent the customer\'s current reality.

Successful Customer Success organizations therefore treat Health Scoring as a continuous process rather than a monthly reporting exercise.

Health Scores should be reviewed whenever significant customer events occur.

Examples include:

Executive leadership changes.

Major implementation milestones.

Product releases.

Support escalations.

Declining adoption.

Business restructuring.

Renewal planning.

Expansion discussions.

Customer feedback.

Regular reviews also ensure that scoring remains objective.

Customer Success Managers should avoid allowing recent positive interactions to overshadow declining long-term trends.

Similarly, one difficult support incident should not immediately classify an otherwise healthy account as high risk.

Health Scores should always reflect patterns rather than isolated events.

Consistency is equally important.

Every Customer Success Manager should evaluate accounts using the same framework, scoring criteria, and review cadence.

This creates reliable reporting across portfolios and improves forecasting accuracy for leadership.

Organizations should also review the Health Score model itself periodically.

As products evolve and customer expectations change, scoring criteria may need adjustment.

An effective Health Score evolves alongside the business it measures.

Chapter 13

Real World Case Study

LendWise

LendWise provides digital lending technology to financial institutions seeking to modernize loan processing, customer onboarding, and compliance workflows.

As the customer portfolio expanded, Customer Success Managers relied primarily on individual judgment to assess account health.

Some accounts received significant attention because they generated frequent communication.

Others appeared healthy simply because customers rarely contacted support.

Leadership recognized that these subjective assessments made forecasting difficult and often delayed intervention until renewal conversations.

To address this, LendWise introduced a standardized Customer Health Scorecard built around five pillars:

Adoption.

Business Outcomes.

Relationship.

Customer Sentiment.

Growth Potential.

Every managed account received a monthly Health Score.

Accounts classified as Green focused on strategic growth and Executive Business Reviews.

Amber accounts triggered additional coaching sessions, Success Plan reviews, and stakeholder alignment meetings.

Red accounts activated executive recovery plans involving Customer Success, Product, Support, and Sales leadership.

Several months after implementation, one financial institution experienced declining adoption following organizational restructuring.

Although support activity remained low and customer sentiment appeared positive, the Health Score identified decreasing executive engagement and reduced workflow completion.

The account shifted from Green to Amber.

Rather than waiting until renewal, the Customer Success Manager organized executive alignment sessions, delivered additional administrator training, and updated the customer\'s Success Plan to reflect new organizational priorities.

Within two months, adoption improved, executive engagement returned, and the account recovered to Green before renewal discussions began.

The Health Score had identified the risk before the customer considered leaving.

This case demonstrated the true purpose of Health Scoring.

Not predicting churn.

Preventing it.

Chapter 14

Fully Completed Customer Health Scorecard

Customer Information

Customer Name: LendWise

Industry: Financial Technology

Customer Success Manager: David Maika

Review Date: July 2026

Renewal Date: January 2027

Health Pillar Weight Score Status

Adoption 30% 28 Green

Business Outcomes 25% 23 Green

Relationship 20% 18 Green

Customer Sentiment 15% 13 Green

Growth Potential 10% 8 Green

Overall Health Score: 90/100

Overall Status: Green

Key Strengths

• High feature adoption across core workflows.

• Executive sponsor actively engaged.

• Business KPIs improving consistently.

• Strong relationship with multiple stakeholders.

• Additional departments evaluating expansion.

Watch Items

• Two advanced features have low adoption.

• Procurement has not yet been engaged for renewal planning.

• Additional administrator training recommended.

Recommended Actions

Continue monthly Health Reviews.

Schedule Executive Business Review next quarter.

Begin expansion discovery with Operations team.

Initiate renewal planning 120 days before contract expiration.

Continue monitoring feature adoption trends.

This scorecard provides leadership with an immediate understanding of the account while also identifying proactive actions that strengthen long-term success.

Chapter 15

Common Mistakes

Customer Health Scores are only valuable when they accurately reflect the reality of the customer relationship. Unfortunately, many organizations unintentionally design Health Score models that create a false sense of security or exaggerate customer risk.

One of the most common mistakes is relying too heavily on product usage.

A customer who logs into the platform every day may still be at risk if they are not achieving measurable business outcomes. Likewise, a customer with lower login frequency may be perfectly healthy if the product has become deeply embedded in a critical business process.

Another frequent mistake is assigning equal importance to every health indicator.

Not every metric contributes equally to customer success.

For most organizations, business outcomes and adoption should carry greater weight than growth potential because customers must first achieve value before expansion becomes realistic.

Many Customer Success teams also fail to update Health Scores regularly.

Customer health changes continuously.

Leadership transitions, product releases, organizational restructuring, economic conditions, and changing customer priorities can significantly alter account health within weeks.

Static Health Scores quickly become outdated.

Another mistake is measuring only quantitative data while ignoring qualitative insights.

Metrics such as feature usage and login frequency provide valuable information, but they should be complemented by meeting sentiment, executive feedback, customer confidence, and relationship strength.

Some organizations also make the mistake of creating Health Scores without corresponding playbooks.

Knowing an account has a Health Score of 58 provides little value if no one understands what actions should immediately follow.

Finally, organizations sometimes attempt to build overly complex scoring models.

While sophisticated analytics can provide additional insight, Health Scores should remain understandable enough that every Customer Success Manager can confidently explain why an account received its score.

A Health Score should simplify decision-making, not complicate it.

Chapter 16

AI Workflow for Customer Health Scoring

Artificial Intelligence has become one of the most valuable tools for monitoring customer health because it can analyze far more customer signals than any individual Customer Success Manager can review manually.

Rather than replacing human judgment, AI enhances it by identifying patterns, trends, and early warning signs that may otherwise go unnoticed.

AI can automatically analyze:

CRM activity.

Product usage data.

Support ticket history.

Meeting transcripts.

Email conversations.

Executive Business Review notes.

Survey responses.

Customer feedback.

Renewal history.

Using these data sources, AI can generate an initial Health Score recommendation, identify declining trends, summarize account activity, and highlight customers requiring proactive attention.

For example, AI might detect that a customer\'s weekly active users have declined for six consecutive weeks while executive attendance at review meetings has also decreased.

Although neither metric independently suggests immediate concern, together they may indicate an emerging renewal risk.

Customer Success Managers can also use AI to:

Draft Health Review summaries.

Generate executive-ready account updates.

Recommend proactive engagement strategies.

Identify expansion opportunities.

Predict adoption trends.

Prepare renewal readiness assessments.

Monitor portfolio-wide health changes.

Despite these capabilities, AI should never become the final decision-maker.

Customer relationships involve context that data alone cannot fully capture.

A customer may temporarily reduce platform usage because of seasonal business cycles, mergers, leadership changes, or internal restructuring.

Understanding these nuances requires direct customer conversations.

AI provides intelligence.

Customer Success Managers provide judgment.

The combination creates stronger, more proactive customer management.

Chapter 17

Best Practices

Build your Health Score around measurable business outcomes rather than product activity alone.

Evaluate every account using the same scoring framework to maintain consistency across the Customer Success organization.

Review Health Scores monthly and after significant customer events rather than relying on quarterly updates.

Monitor trends over time instead of reacting to isolated changes in customer behavior.

Balance quantitative metrics with qualitative observations gathered through meetings, Executive Business Reviews, and customer conversations.

Ensure every Health Score threshold triggers a predefined Customer Success playbook so teams know exactly what action to take.

Review and refine the scoring model regularly as customer expectations, products, and business priorities evolve.

Use Health Scores to guide conversations rather than replace them.

The strongest Customer Success organizations use Health Scores to create proactive engagement---not automated account management.

Ultimately, a Health Score should answer one simple question:

\"What should we do next to help this customer succeed?\"

If it cannot answer that question, it needs improvement.

Chapter 18

Final Template

Customer Information

Customer Name:

Industry:

Customer Success Manager:

Review Date:

Renewal Date:

Customer Health Score

Health Pillar Weight Score Status

Adoption 30%

Business Outcomes 25%

Relationship 20%

Customer Sentiment 15%

Growth Potential 10%

Overall Health Score: _______ /100

Overall Status: Green / Amber / Red

Key Strengths

-
-
-

Risks Identified

-
-
-

Recommended Actions

-
-
-

Executive Notes

Next Review Date

Conclusion

Customer Health Scoring is one of the most powerful capabilities within Customer Success because it transforms isolated customer signals into meaningful business insight.

Rather than waiting for customers to report dissatisfaction or decline renewal, Health Scores enable Customer Success teams to recognize subtle changes in adoption, business outcomes, relationships, sentiment, and growth potential before those changes become significant risks.

When implemented consistently, a Health Score becomes far more than a reporting metric.

It becomes a decision-making framework that guides customer engagement, prioritizes resources, improves forecasting, and strengthens executive confidence.

The organizations with the highest retention rates are rarely those that react the fastest.

They are the ones that identify risk the earliest.

A well-designed Customer Health Scorecard ensures that every customer receives the right attention, at the right time, for the right reason---turning proactive Customer Success into a measurable competitive advantage.

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